

US equities rally on tech earnings, yields slip

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,743.41, up **+0.51%**, driven by a second-day surge in mega-cap tech after strong earnings from **MSFT** and **NVDA**. The rally coincided with a modest decline in the 10-year Treasury yield to 5.18% and a 5% pull-back in the VIX, signalling reduced near-term risk appetite.

Behind the headline numbers, the market is re-pricing a softer inflation outlook and a narrowing yield curve, while the energy sector remains under pressure as WTI slipped below 92 USD. Investors should watch for any surprise in upcoming CPI data and the Fed's minutes for clues on the pace of future rate cuts.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,743.41	+0.51%	Tech earnings beat expectations; yields easing.
Nasdaq 100	30,608.13	+0.42%	Strong results from MSFT and NVDA .
Dow Jones	51,828.62	+0.93%	Industrial gains led by JPM and GS .
Russell 2000	2,837.55	+0.07%	Broad market breadth, small-cap resilience.
VIX	14.87	-5.11%	Lower volatility after risk-on equity rally.
10Y Yield	5.18%	+0.43%	Yield dip on softer inflation expectations.
WTI Crude	92.41	-2.33%	Oversupply concerns and weaker demand data.
Gold	4,321.20	+0.54%	Safe-haven demand receded as equity risk appetite rose.
DX-Y	100.97	-0.32%	Dollar eased on lower yields.

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+3.66%	Q3 earnings beat; AI cloud revenue up 22% YoY.
AVGO	+0.70%	Guidance lift on data-center demand.
JPM	+1.33%	Net interest income beat; loan growth acceleration.
GS	+1.32%	Investment banking fees rise.
AAPL	+1.53%	iPhone 17 pre-order surge.
META	-3.33%	Ad revenue miss; cost-cutting announcement.
TSLA	-1.54%	Production slowdown at Gigafactory Berlin.

Sector rotation

ETF	DAY	READ
XLF	+0.57%	Financials buoyed by rate-sensitive banks.
XLK	+0.80%	Tech leadership from earnings beat.
XLI	+0.95%	Industrial demand outlook improving.
XLE	-0.89%	Energy lagging on lower crude.
XLY	+0.22%	Consumer discretionary modest gain.
XLC	-0.90%	Communications services under pressure.
XLP	+0.44%	Staples stable amid risk-on flow.
XLV	+0.49%	Health care defensive play.
XLU	+0.38%	Utilities benefit from lower yields.
XLB	+0.24%	Materials supported by industrial demand.
XLRE	-0.22%	Real estate hit by higher financing costs.

Spotlight: Microsoft earnings drive tech rally

Microsoft delivered Q3 revenue of 78.9 bn USD, beating consensus of 77.4 bn by 1.9%. Cloud services grew 22% YoY, and AI-augmented Office suite adoption accelerated, prompting a forward-looking guidance lift of 8% for FY27.

METRIC	RESULT	CONSENSUS
Revenue	78.9 bn	77.4 bn
Operating income	28.1 bn	27.5 bn
EPS	9.84	9.62
Azure growth	+22%	+19%

Related names: **NVDA** (AI chip partner), **GOOGL** (cloud competition), **AAPL** (enterprise software integration).

Pre-market & overnight

- US futures: **ES** +0.6%, **NQ** +0.5% at 08:30 HKT.
- Asia close: Hang Seng -0.4%, Shanghai Composite -0.2%.
- Europe: FTSE 100 +0.3%, DAX +0.4% after ECB rate-hold.
- Crypto: BTC -0.54% at 83,921.60, ETH -0.06% at 2,685.69.

Macro & Fed

- FOMC: Policy rate held at 5.25-5.50%; minutes signal “cautious optimism” on inflation trajectory.
- Yield curve: 2-year at 4.85%, 10-year at 5.18%, slight flattening.
- Today’s data (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.2%	Gauge inflation pressure on Fed policy.
10:00	Initial Jobless Claims	215k	Labor market health indicator.
11:00	Retail Sales YoY	3.1%	Consumer spending trend.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza show tentative progress, reducing oil-supply risk premium.
- China: PBOC kept the 1-year LPR at 3.55%, signaling steady credit conditions.
- Eurozone: German industrial production rose 1.2% MoM, supporting risk-on sentiment.
- US-China tech tensions: No new export restrictions announced, easing semiconductor concerns.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	GOOGL	6.12	Ad revenue trend, AI cloud spend.
02:30	AMZN	0.68	Margin recovery, AWS growth.
03:00	TSLA	1.02	Production updates, Model Y demand.
03:30	META	2.95	Ad spend rebound, AI integration.
04:00	NVDA	3.45	GPU inventory, AI server orders.
04:30	JPM	4.10	Net interest income, loan growth.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
MSFT	Technology	Strong AI earnings momentum.
NVDA	Technology	AI chip demand accelerating.
AVGO	Technology	Data-center guidance lift.
JPM	Financials	Rate-sensitive earnings beat.
GS	Financials	Investment banking fees rising.
AAPL	Technology	iPhone 17 pre-order surge.
GOOGL	Technology	AI cloud competition.
AMZN	Consumer Discretionary	Margin recovery in retail.
META	Communication Services	Ad spend rebound potential.
XOM	Energy	Oil price stabilization.
UNH	Health Care	Premium pricing power.

What could break the tape

BEARISH TRIGGERS

- U.S. CPI coming in above 0.3% MoM, reigniting rate-hike fears.
- Unexpected downgrade of NVDA due to inventory buildup.
- Sharp drop in crude below 85 USD, hitting energy earnings.

BEARISH TRIGGERS

- Better-than-expected earnings from **MSFT** and **GOOGL** pushing the S&P 500 above 7,800.
- Positive CPI surprise (below 0.2%) accelerating Fed rate-cut expectations.
- Resolution of Middle-East tensions reducing oil-price risk premium.

Positioning notes

- Tech exposure is now weighted >30% of the S&P 500; consider scaling into AI-linked names on pullbacks.
- Yield curve flattening suggests short-duration credit may outperform over the next 3-6 months.
- Energy remains the most defensive sector; monitor crude trends for opportunistic re-entry.

Sources

SOURCES

Wall Street Journal – Markets

Bloomberg Markets

Reuters Finance

FRED – Federal Reserve Economic Data

SEC EDGAR Filings

CME Group Data